



State of Wisconsin
2025 - 2026 LEGISLATURE

LRB-5061/1
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2025 SENATE BILL 1096

March 4, 2026 - Introduced by Senators ROYS and LARSON, cosponsored by Representatives BROWN, CLANCY and KIRSCH. Referred to Committee on Government Operations, Labor and Economic Development.

1 **AN ACT** *to renumber and amend* 40.515 (3); *to amend* 20.515 (1) (tm), 40.03
2 (6) (k), 40.04 (12), 40.51 (1) and 40.515 (1); *to create* 20.515 (1) (g), 20.515 (1)
3 (gm), 20.515 (1) (h), 20.515 (1) (i), 40.03 (6) (km), 40.03 (6) (kp), 40.04 (13),
4 40.04 (14), 40.515 (1m), 40.515 (3) (b), 40.515 (3) (c) and 40.516 of the statutes;
5 **relating to:** allowing private individuals, families, and private employers to
6 elect health care coverage through plans offered by the Group Insurance
7 Board, granting rule-making authority, and making an appropriation.

Analysis by the Legislative Reference Bureau

This bill allows an individual or family in this state that is not otherwise eligible to enroll in a group health insurance plan offered by the Group Insurance Board to enroll in any health care coverage plan offered to state employees if the individual or family meets certain conditions and pays the full cost of the required premiums. The bill also allows a private employer, including a nonprofit entity or union, located in this state to elect to have its employees who reside in this state receive any health care coverage under any health care coverage plan offered to state employees if the employer meets certain conditions and pays the full cost of the required premiums.

SENATE BILL 1096**SECTION 1**

Under current law, GIB, which is attached to the Department of Employee Trust Funds, is required to contract on behalf of the state for the purpose of providing health care coverage to state employees and for the purpose of offering health care coverage to other nonstate public sector employers such as school boards and municipalities. Nonstate public employers may currently provide health care coverage for their employees through plans offered by GIB.

For further information see the state fiscal estimate, which will be printed as an appendix to this bill.

The people of the state of Wisconsin, represented in senate and assembly, do enact as follows:

SECTION 1. 20.515 (1) (g) of the statutes is created to read:

20.515 (1) (g) *Benefit and coverage payments; private individuals.* All moneys received from individuals under s. 40.516 (1) (a) who elect coverage under any health care coverage plan offered under s. 40.51 (6) for the payment of benefits and the cost of administering benefits for those individuals.

SECTION 2. 20.515 (1) (gm) of the statutes is created to read:

20.515 (1) (gm) *Benefit and coverage payments; private employers.* All moneys received from private employers under s. 40.516 (2) (b) 1. who elect to provide coverage to their employees under any health care coverage plan offered under s. 40.51 (6) for the payment of benefits and the cost of administering benefits for employees of those private employers.

SECTION 3. 20.515 (1) (h) of the statutes is created to read:

20.515 (1) (h) *Health savings account plan; private individuals.* All moneys received from individuals under s. 40.515 (3) (b) relating to the establishment and operation of health savings accounts under s. 40.515 (1m) for individuals who elect coverage under s. 40.516 (1) and who select a high-deductible health plan, to be

SENATE BILL 1096**SECTION 3**

1 used for the payment of expenses related to health savings accounts for such
2 individuals.

3 **SECTION 4.** 20.515 (1) (i) of the statutes is created to read:

4 20.515 (1) (i) *Health savings account plan; private employers.* All moneys
5 received from private employers under s. 40.515 (3) (c) relating to the establishment
6 and operation of health savings accounts under s. 40.515 (1m) for private employers
7 who elect coverage for their employees under s. 40.516 (2) and whose employees
8 select a high-deductible health plan, to be used for the payment of expenses related
9 to health savings accounts for such employees of private employers.

10 **SECTION 5.** 20.515 (1) (tm) of the statutes is amended to read:

11 20.515 (1) (tm) *Health savings account plan.* All moneys deposited in the
12 public employee trust fund relating to the establishment and operation of health
13 savings accounts under s. 40.515 (1) to be used for the payment of expenses relating
14 to health savings accounts for state employees.

15 **SECTION 6.** 40.03 (6) (k) of the statutes is amended to read:

16 40.03 (6) (k) Shall establish health savings accounts for state employees who
17 select a high-deductible health plan under s. 40.515 (1) for their health care
18 coverage plan.

19 **SECTION 7.** 40.03 (6) (km) of the statutes is created to read:

20 40.03 (6) (km) Shall establish health savings accounts for individuals who
21 select a high-deductible health plan under s. 40.515 (1m) for their health care
22 coverage plan.

23 **SECTION 8.** 40.03 (6) (kp) of the statutes is created to read:

24 40.03 (6) (kp) Shall establish health savings accounts for individuals whose

SENATE BILL 1096**SECTION 8**

1 private employers elect to offer coverage under s. 40.516 (2) and who select a high-
2 deductible health plan under s. 40.515 (1m) for their health care coverage plan.

3 **SECTION 9.** 40.04 (12) of the statutes is amended to read:

4 40.04 (12) The department shall establish and maintain a separate account
5 in the fund to which shall be credited all moneys received from employees and
6 employers in connection with health savings accounts established for state
7 employees under s. 40.515 (1).

8 **SECTION 10.** 40.04 (13) of the statutes is created to read:

9 40.04 (13) The department shall establish and maintain a separate account to
10 which shall be credited all moneys received under s. 40.515 (3) (b) in connection
11 with health savings accounts established under s. 40.515 (1m) for individuals who
12 elect coverage under s. 40.516 (1) and who select a high-deductible health plan.

13 **SECTION 11.** 40.04 (14) of the statutes is created to read:

14 40.04 (14) The department shall establish and maintain a separate account to
15 which shall be credited all moneys received under s. 40.515 (3) (c) in connection
16 with health savings accounts established under s. 40.515 (1m) for employees of
17 private employers who elect coverage for their employees under s. 40.516 (2) and
18 whose employees select a high-deductible health plan.

19 **SECTION 12.** 40.51 (1) of the statutes is amended to read:

20 40.51 (1) The procedures and provisions pertaining to enrollment, premium
21 transmitted and coverage of eligible employees, individuals who elect coverage
22 under s. 40.516 (1), private employers that elect coverage for their employees under
23 s. 40.516 (2), and employees of private employers that elect coverage under s. 40.516

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1 (2) for health care benefits shall be established by contract or rule except as
2 otherwise specifically provided by this chapter.

3 **SECTION 13.** 40.515 (1) of the statutes is amended to read:

4 40.515 (1) In addition to the health care coverage plans offered under s. 40.51
5 (6), beginning on January 1, 2015, the group insurance board shall offer to all state
6 employees the option of receiving health care coverage through a high-deductible
7 health plan and the establishment of a health savings account. Under this option,
8 each state employee shall receive health care coverage through a high-deductible
9 health plan. The state shall make contributions into each state employee's health
10 savings account in an amount specified by the administrator of the division of
11 personnel management in the department of administration under s. 40.05 (4) (ah)
12 4. In designing a high-deductible health plan, the group insurance board shall
13 ensure that the plan may be used in conjunction with a health savings account.

14 **SECTION 14.** 40.515 (1m) of the statutes is created to read:

15 40.515 (1m) Beginning on January 1 following the effective date of this
16 subsection [LRB inserts date], the group insurance board shall offer to all
17 individuals who are eligible to elect coverage under s. 40.516 (1) or who receive
18 coverage through a private employer under s. 40.516 (2) the option of receiving
19 health care coverage through a high-deductible health plan under sub. (1) and the
20 establishment of a health savings account. The state may not make any
21 contribution to a health savings account on behalf of an individual who elects
22 coverage under s. 40.516 (1) or who receives coverage through a private employer
23 under s. 40.516 (2).

SENATE BILL 1096**SECTION 15**

1 **SECTION 15.** 40.515 (3) of the statutes is renumbered 40.515 (3) (a) and
2 amended to read:

3 40.515 (3) (a) The group insurance board may collect fees from state agencies
4 to pay all administrative costs relating to the establishment and operation of health
5 savings accounts established for state employees under ~~this section~~ sub. (1). The
6 group insurance board shall develop a methodology for determining each state
7 agency's share of the administrative costs. Moneys collected under this ~~subsection~~
8 paragraph shall be credited to the appropriation account under s. 20.515 (1) (tm).

9 **SECTION 16.** 40.515 (3) (b) of the statutes is created to read:

10 40.515 (3) (b) The group insurance board shall collect fees from individuals to
11 pay all administrative costs relating to the establishment and operation of health
12 savings accounts established under sub. (1m) for individuals who elect coverage
13 under s. 40.516 (1) and who select a high-deductible health plan. The group
14 insurance board shall develop a methodology for determining the share of the
15 administrative costs related to those individuals and each individual's share of the
16 administrative costs. Moneys collected under this paragraph shall be credited to
17 the appropriation account under s. 20.515 (1) (h).

18 **SECTION 17.** 40.515 (3) (c) of the statutes is created to read:

19 40.515 (3) (c) The group insurance board shall collect fees from private
20 employers to pay all administrative costs relating to the establishment and
21 operation of health savings accounts established under sub. (1m) for employees of
22 private employers who receive coverage under s. 40.516 (2) and who select a high-
23 deductible health plan. The group insurance board shall develop a methodology for
24 determining the share of the administrative costs related to those private employers

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1 and each private employer's share of the administrative costs. Moneys collected
2 under this paragraph shall be credited to the appropriation account under s. 20.515
3 (1) (i).

4 **SECTION 18.** 40.516 of the statutes is created to read:

5 **40.516 Health care coverage for private individuals.** (1) In this
6 subsection, "individual" includes a family. Beginning on January 1 following the
7 effective date of this subsection [LRB inserts date], any individual in this state
8 who is not otherwise eligible for health care coverage under this subchapter may
9 elect coverage under any health care coverage plan offered under s. 40.51 (6) or
10 40.515 (1m), subject to all of the following conditions:

11 (a) The individual pays to the department the full cost of the required
12 premiums for the health care coverage. All moneys collected under this paragraph
13 shall be deposited in the appropriation account under s. 20.515 (1) (g).

14 (b) The individual signs a one-year agreement for health care coverage.

15 (c) If the individual terminates health care coverage under this section before
16 the expiration of the agreement under par. (b), the individual may not receive
17 health care coverage under this section for one year following the termination date.

18 (2) (a) In this subsection, "private employer" means any person who is not an
19 employer, as defined in s. 40.02 (28).

20 (b) Beginning on January 1 following the effective date of this paragraph
21 [LRB inserts date], a private employer located in this state may elect coverage for
22 the private employer's employees who reside in this state under any health care
23 coverage plan offered under s. 40.51 (6) or 40.515 (1m), subject to all of the following
24 conditions:

SENATE BILL 1096**SECTION 18**

1 1. The private employer pays to the department the full cost of the required
2 premiums for the private employer's employees who elect the health care coverage.
3 All moneys collected under this subdivision shall be deposited in the appropriation
4 account under s. 20.515 (1) (gm).

5 2. The private employer signs a two-year agreement for health care coverage.

6 3. If the private employer terminates its health care coverage contract under
7 this section before the expiration of the agreement under par. (b), the employer may
8 not receive health care coverage for its employees under this paragraph for one year
9 following the termination date.

10 (3) The department shall establish by rule procedures for the administration
11 of this section.

12 **SECTION 19. Nonstatutory provisions.**

13 (1) IMPLEMENTATION. The department of employee trust funds shall make the
14 health care coverage options available to private individuals and private employers
15 under s. 40.516 no later than January 1, 2027.

16 **SECTION 20. Fiscal changes.**

17 (1) PRIVATE COVERAGE OPTION. In the schedule under s. 20.005 (3) for the
18 appropriation to the department of employee trust funds under s. 20.515 (1) (a), the
19 dollar amount for fiscal year 2025-26 is increased by \$100,000 to increase the
20 authorized FTE positions for the department by 1.0 GPR position for the purpose of
21 developing a fiscal estimate for the program to allow an individual to elect health
22 care coverage through a group health insurance plan offered by the group insurance
23 board under s. 40.516 (1) or to allow a private employer to offer health care coverage

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SECTION 20

1 through a group health insurance plan offered by the group insurance board under
2 s. 40.516 (2).

3 (END)